

SPECIAL ISSUE ARTICLE

How does family involvement affect a firm's internationalization? An investigation of Indian family firms

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Funding information

Thomas Schmidheiny Centre for Family Enterprise at Indian School of Business; Thomas Schmidheiny Centre

Research Summary: We investigate whether and how family ownership and management influence firms' internationalization strategies in an emerging economy in which family firms are dominant. Anchoring on the willingness and ability framework and drawing on the socio-emotional wealth perspective and agency theory, we theorize how the heterogeneity among family firms in their ownership structures, concentration, and family involvement in management shapes the firms' internationalization strategies. We also theorize how certain contingencies, such as the presence of foreign institutional ownership and family management, moderate the relationship between family ownership and internationalization strategy. We test our predictions by using a proprietary, longitudinal panel dataset of 303 leading family firms from India and find support for most of our theoretical predictions.

Managerial Summary: Internationalization has emerged as a dominant strategy for firms in a globally interconnected world. We observe that ownership structure and management have significant bearing on internationalization strategies of family firms, as family owners and managers are more averse to internationalization. Family firms' aversion to internationalize is more pronounced when families can exercise greater control on firms' actions through the combined effect of higher family ownership (primarily through strategic control) and family's participation in management (through strategic, administrative, and operational control). However, certain contingencies, such as the higher ownership of foreign institutions and presence of professional managers, help business families improve their understanding of international markets, reduce the fear of the

unknown, and better appreciate the benefits of internationalization, thereby aiding greater internationalization of family firms.

KEYWORDS

ability and willingness perspective, family ownership and management, foreign institutional investors, internationalization, professionalization of family firms

1 | INTRODUCTION

Over the past two decades, research on the internationalization of firms promoted by families (hereafter, family firms) has gained prominence, with numerous research papers published in leading journals (see Arregle, Duran, Hitt, & Essen, 2017; Kontinen & Ojala, 2010; and Pukall & Calabrò, 2014 for a review). The dominant theme of this research often emphasizes the uniqueness of family firms and explores whether and why family firms internationalize more or less than nonfamily firms do (Arregle et al., 2017; Sciascia, Mazzola, Astrachan, & Pieper, 2012). However, scholars (Arregle, Naldi, Nordqvist, & Hitt, 2012; Gomez-Mejia, Makri, & Kintana, 2010; Melin & Nordqvist, 2007; Sanchez-Bueno & Usero, 2014; Segaro, 2012) have recently highlighted that family firms differ widely on various dimensions, advocating more research to examine the impact of heterogeneity on family firms' internationalization strategies. This article is an attempt to contribute to that emerging stream of research.

The most recognized sources of heterogeneity among family firms are family ownership (family control) and family involvement in management (family management) (Banalieva & Eddleston, 2011). Some studies rooted in the developed economies (Arregle et al., 2012; Calabrò, Torchia, Pukall, & Mussolino, 2013; Zahra, 2003) as well as from China (Liang, Wang, & Cui, 2014) have observed both a direct and a moderating effect of family involvement on family firms' internationalization strategies. Some scholars find that family ownership and managerial involvement have a positive influence on internationalization (e.g., Carr & Bateman, 2009; Zahra, 2003), whereas others find a negative influence (e.g., Fernández & Nieto, 2006; Graves & Thomas, 2006), and a few report no effect at all (e.g., Carlos Pinho, 2007; Cerrato & Piva, 2012). In a recent meta-analytical review, Arregle et al. (2017) find wide variations in the relationships of family ownership and management with the internationalization of family firms across studies. They conclude that because of their unique formal and informal institutions, diverse country contexts make a major contribution to the divergence across studies and that more studies from under-researched institutional contexts are required. We observe that emerging economies (EEs) such as India have a long history and ubiquitous presence of family firms; the large family firms that are listed in the stock markets dominate the industrial landscape. Many of these firms nurture the aspiration not only to dominate domestic markets, but also to emerge as global giants (Ghemawat & Hout, 2008). Further, agency effects function differently in such contexts because family firms differ significantly in their ownership patterns, particularly those that participate in both domestic and international capital markets for equity capital (Daily, Dalton, & Rajagopalan, 2003). Therefore, it is evident that the manner in which heterogeneity in ownership and management amongst family firms influences internationalization

strategy remains an open question (Chua, Chrisman, Steier, & Rau, 2012; Nordqvist, Sharma, & Chirico, 2014; Schulze & Gedajlovic, 2010). Studies on the internationalization of family firms rooted in underexplored, yet unique institutional contexts such as Asia (Sharma & Chua, 2013; Wright, Chrisman, Chua, & Steier, 2014) would enrich the theory of the internationalization of family firms.

Consequently, we are motivated to investigate larger family firms of Indian origin listed on the stock markets, keeping in mind the following research questions: How does family ownership influence family firms' internationalization strategies? Do managers from owner families (henceforth, family managers) shape family firms' internationalization strategies differently than nonfamily professional managers? How does the presence of other types of owners, such as foreign institutional owners, alter the relationship of family ownership and management with family firms' internationalization strategies? We use a framework that is anchored in the willingness and ability perspective (De Massis, Kotlar, Chua, & Chrisman, 2014) as this study's overarching conceptual framework.

This framework is based on two drivers of family governance: willingness (disposition to act) and ability (discretion to act). We draw from the existing literature to build our theoretical arguments about why and how heterogeneity in ownership structure and the management of family firms shapes family owners' and family managers' willingness and ability to influence firms' internationalization strategies. Drawing primarily on the socioemotional wealth (SEW) perspective (Gómez-Mejía, Haynes, Núñez-Nickel, Jacobson, & Moyano-Fuentes, 2007) and, to an extent, from agency theory (Eisenhardt, 1989; Fama & Jensen, 1983; Jensen & Meckling, 1976), we argue that family owners and managers are not favorably disposed toward the risky strategy of internationalization. This lack of willingness (unfavorable disposition) toward internationalization guides the behavior of family members as owners and/or managers while exercising control over managerial actions related to internationalization. We argue that the greater the control of the family through either higher family ownership or management control attributable to the participation of family members in management (or both), the greater the family's ability to influence managerial actions. Consequently, the owning family's unwillingness to internationalize is reflected in such a way that firms subjected to greater strategic, administrative, and operational family control will pursue an internationalization strategy less vigorously. Family firms' reluctance to internationalize is more visible when the family can exercise greater control on the firm's action through the combined effect of higher family ownership (primarily through strategic control) and the presence of family management (through strategic, administrative, and operational control). However, certain contingencies, such as the presence of foreign institutional owners, help family members improve their understanding of international markets, reduce the fear of the unknown, and appreciate the benefits of internationalization. As a result, family owners and managers' aversion to internationalization decreases, and firms with dominant family ownership and/or family management internationalize more than family firms with no or little foreign institutional ownership. Therefore, we posit that foreign institutional ownership positively moderates the relationship of both family ownership and family management with family firms' internationalization strategies.

We test our hypotheses using a proprietary, longitudinal panel dataset of 303 family-owned Indian firms listed on the S&P Bombay Stock Exchange (BSE) 500 Index covering a six-year period from 2007–2008 to 2012–2013. We argue that India provides a unique natural experiment research setting for this study because it is one of the world's most important emerging economies and has a large percentage of family firms listed on the stock markets, many of which have become emerging multinational enterprises (EMNEs) in recent years. India has also experienced significant inward and outward trade as well as investments in capital markets and foreign direct investment (FDI) over

the last two decades. Foreign financial institutions have been very active in the Indian stock market and accelerated their investments in listed firms in India.

We make several contributions to the literature on family business and international business in general and the internationalization of family firms in particular by uncovering some interesting facets of how heterogeneity in ownership and management influences family firms' internationalization strategies in a new empirical setting. First, this study addresses the recent call for more research exploring the role of heterogeneity among family firms in under-represented regions, such as Asia (Sharma & Chua, 2013; Wright et al., 2014), that adds to institutional heterogeneity to develop more fine-grained theories of family business. Second, this is perhaps the first study to adopt the ability and willingness framework proposed by De Massis et al. (2014) to theorize the dynamics of family influence on internationalization of family firms. We demonstrate that the willingness and ability framework allows a sufficient scope for drawing from more than one theory and complementary theoretical arguments to tease out the effect of heterogeneity in family involvement in the ownership and management of family firms and explain diverse and sometimes conflicting results reported in prior studies. Third, we demonstrate how foreign institutional investors (FIIs) can act as facilitators for internationalization of EE family firms, and we provide a sufficient explanation of the variance in their internationalization activities. In this way, our study has gone beyond existing studies, which often focus exclusively on family or inside firm variables as a source of heterogeneity. Finally, the willingness-ability framework helps us explain that family owners with strategic, administrative and operating controls have a greater ability to curb the internationalization efforts of EE family firms, reflecting family owners' aversion to internationalization and that the positive role of FIIs is dependent on the controlling power of family owners and their involvement in the business. In this way, we contribute to the theory of family firms with a more nuanced understanding of the influence of family owners and their impact on key strategic decisions such as internationalization through their involvement in ownership and management independently as well as in the presence of FIIs.

2 | THEORY AND HYPOTHESES

2.1 | Research on the internationalization of emerging economy family firms

Firms choose their international strategies after considering several factors. Internationalization provides firms with the opportunity for growth and value creation and the ability to access knowledge in foreign locations. It also helps firms enhance their knowledge base, capabilities, and competitiveness through experiential learning (Barkema & Vermeulen, 1998; Ghoshal & Bartlett, 1990). However, internationalization entails high risks, costs, and uncertainties, requires a strong commitment of resources, and takes time to produce tangible outcomes (Contractor, Kumar, & Kundu, 2007; Liu, Lin, & Cheng, 2011) because firms need to manage challenges that are often associated with the liabilities of foreignness (Hymer, 1976; Zaheer, 1995) and newness (Stinchcombe, 1965). The internationalization of EE firms has special significance because they experience various additional liabilities and challenges in the early stage of their international growth, especially with respect to negative "country of origin" effects (Ramachandran & Pant, 2010) and a lack of adequate experience in exporting to and operating in foreign countries, thereby exacerbating the challenges and risks involved in international expansion (Oviatt & McDougall, 1994; Sapienza, Autio, George, & Zahra, 2006). As internationalization, especially outward foreign direct investment (OFDI), requires significant resource commitment and may take years to generate steady profits (Zahra, 2003), it has become even more challenging and riskier for typically resource-constrained EE firms.

Even though family firms constitute the majority of publicly listed firms in many EEs (anywhere from 35 to 66% of listed companies in Southeast Asia) (AFBR, 2011), research on the internationalization of family firms is scant and often limited to the exporting activities of small and medium enterprises (Chen, Hsu, & Chang, 2014; Filatotchev, Strange, Piesse, & Lien, 2007; Kontinen & Ojala, 2010; Pukall & Calabrò, 2014). EE firms' strategic shift from exports to OFDI activities has attracted scholarly attention in the recent past (Cuervo-Cazurra, 2008; Gaur, Kumar, & Singh, 2014; Gubbi, Aulakh, Ray, Sarkar, & Chittoor, 2010; Guillén & García-Canal, 2009). However, the manner in which familial heterogeneity influences the internationalization of large family firms that thrive and dominate in EEs such as India remains largely unexplored.

Furthermore, scholars (e.g., Chrisman, Chua, Pearson, & Barnett, 2012) argue that there may be moderators or mediators that have a profound impact on the controlling family's ability to act independently. One important factor is the presence of foreign institutional shareholders, which contribute the majority of external equity capital to most public firms (Bennett, Sias, & Starks, 2003), especially EE firms (Chittoor, Aulakh, & Ray, 2015). Although family owners and anonymous investors can be expected to share common economic interests, there is little reason to suppose that they have common nonfinancial preferences (Schulze, Lubatkin, Dino, & Buchholtz, 2001). Under such circumstances, because institutional shareholders have the responsibility to monitor management to prevent expropriation by controlling family owners, the influence of these large shareholders on international strategy and performance of family firms requires careful investigation (Colot & Bauweraerts, 2016).

2.2 | The SEW perspective, agency theory, and the willingness-ability framework

International strategy research acknowledges that expanded internationalization, especially through high commitment modes such as OFDIs, entails exploratory search behavior and confronts the liability of foreignness and, therefore, is riskier (Dunning, 2006; Korhonen, Luostarinen, & Welch, 1996). Internationalization projects are capital intensive, fraught with uncertainty, and risky in nature. Firms need to take significant risks to pursue internationalization because failure can severely undermine both their financial health and their reputation. It is observed that family firms with undiversified ownership tend to avoid high risk and potentially high return strategies such as internationalization (Morck & Yeung, 2003; Zellweger & Sieger, 2012) and R&D-intensive innovation (De Massis, Frattini, & Lichtenthaler, 2013) because family owners and managers are concerned not only with financial returns but also with preserving their socioemotional wealth (Gómez-Mejía et al., 2007).

Agency theory and SEW perspective provide the theoretical foundations for family firms' aversion to the risky path of internationalization based on economic and noneconomic considerations, respectively. Agency theory suggests that family owners and managers wish to protect their wealth and hedge their income streams and, thus, are reluctant take such risks (Fama & Jensen, 1983). A higher level of family ownership more negatively influences the adoption of a risky strategy such as internationalization because when wealth is highly concentrated, it is the family owners who primarily bear the financial burden and, therefore, they are more averse to risky investments (Fama & Jensen, 1983; Wright, Ferris, Sarin, & Awasthi, 1996). Family firms make choices depending on the reference point of the firm's dominant principals, who attempt to preserve the family's accumulated endowment. As internationalization strategy is often associated with high risks and uncertain returns, the family firms with highly concentrated ownership are less likely to internationalize (Gedajlovic, Lubatkin, & Schulze, 2004; Zellweger & Sieger, 2012).

Given the peculiarity of family business, scholars (Berrone, Cruz, & Gomez-Mejia, 2012; Gomez-Mejia et al., 2007, 2010; Miller & Breton-Miller, 2014; Vandekerckhof, Steijvers, Hendriks, & Voordeckers, 2015) have often sought to explain the differences between family and non-family firms and within family firms through the lens of the SEW perspective, which addresses the noneconomic aspects or affective endowments of family owners who are motivated by and committed to the preservation of such endowments (Berrone et al., 2012). The family firm keeps socioemotional wealth, not purely economic considerations, as its primary point of reference while choosing among alternatives (Gomez-Mejia, Cruz, Berrone, & De Castro, 2011). It is argued that family members are emotionally attached to the firm as a source of personal pride, self-identification, and satisfaction (Schulze et al., 2001) and usually frame problems in terms of loss aversion for endowments related to noneconomic effects (Gómez-Mejía et al., 2007). This means that the primary driving force in family business strategy is the preservation and enhancement of socioemotional wealth, as reflected in family firms' decision-making processes and outcomes (Berrone et al., 2012). This also explains why family firms make decisions that are not always economically justified. The SEW perspective clearly complements agency theory: its exclusive focus is the owners' economic interest. Both provide a holistic assessment of family owners' preferences related to the internationalization strategy.

However, family owners' preferences are not the sole determinant of the choice of international strategy. The family owners also need to exercise control over the firm's decisions and actions. Given that a large proportion of family wealth is usually invested in a family firm, the family often has the power and authority to impose the family's noneconomic goals on the firm (Carney, 2005; Chrisman et al., 2012; Mitchell, Agle, Chrisman, & Spence, 2011). As Chrisman and colleagues observe, "the accomplishment of these goals is dependent upon the family's control of the firm, and the importance of these goals increases the desirability of maintaining family control" (Chrisman, Memili, & Misra, 2014, p. 1107). However, the family's power to control is not uniform, as family firms vary in both their family ownership concentration and their family involvement in management. Several other family business scholars attribute the mixed findings on the strategic behavior of family firms to the differences in owner families' ability to control and influence (Arregle et al., 2012; Calabrò, Torchia, Pukall, & Mussolino, 2013; Sciascia, Mazzola, Astrachan, & Pieper, 2012). To understand how family involvement impacts such a complex strategic decision as internationalization, we use the "willingness and ability" perspective (Chrisman, Chua, De Massis, Frattini, & Wright, 2015; De Massis et al., 2014) as the overarching conceptual framework to integrate various theoretical arguments pertaining to family owners' preference toward internationalization and power to control the choice of internationalization strategy.

De Massis et al. (2014) have argued that the family must have *ability* in terms of its capability to act distinctively and *willingness* in terms of its intention or commitment to pursue family-oriented particularistic ends. In other words, ability signifies "the family owners' discretion to direct, allocate, add to, or dispose of a firm's resources" and willingness means "the disposition of the family owners to engage in idiosyncratic behavior based on the goals, intentions, and motivations" (Chrisman et al., 2015: 331). Therefore, owner families' *willingness* in terms of intention or commitment and *ability* in terms of discretion to act idiosyncratically to shape their firms' strategic directions vary (De Massis et al., 2014). Family owners' preference or disposition toward a certain strategy is influenced by the possible risk–return trade-off associated with the strategy, as perceived by the family owners. However, many factors such as aspiration, goal, interest, motives, risk aptitude, awareness, information, knowledge, and prior experience shape family owners' perceptions which, in turn, influence their preference or disposition toward certain strategic actions. We invoke

the SEW perspective and agency theory to argue that as the quantum of gain and/or loss associated with a strategy that impacts the family squarely depends on the degree of family ownership in a firm, the extent of willingness (or unwillingness) will be directly proportional to family ownership. In other words, the greater the family ownership, the higher the family owners' willingness (or unwillingness, as the case may be) toward a particular strategy adopted by the firm.

That said, the family's willingness (or unwillingness) can be reflected in a firm's actions only when family owners can exercise control over management and managerial actions. Family owners' ability to influence a firm's actions depends on the owning family's influence on the firm as a result of concentration of family ownership, family involvement in management, or both (De Massis et al., 2014). As argued earlier, the higher the family ownership, the greater the family's ability to exercise ownership control over management (Fama & Jensen, 1983). Family involvement in management increases the family's ability to control the firm's action by virtue of the family's greater management control. In a family-managed firm, there is a greater alignment of ownership and management and a smaller principal-agent problem (Carney, 2005) because of the natural alignment of the family owners' and managers' interests in the sustenance of the family legacy and the preservation and enhancement of the SEW, which may not always be economically justified (Gomez-Mejia et al., 2007, 2011). Because the principal-agent problem is significantly reduced when part-owner agents have special relations with other agents (Dharwadkar, George, & Brandes, 2000), family owners, particularly those with higher family ownership, higher family involvement in management, or both should have a greater ability to influence strategic decisions such as internationalization. Under such circumstances, a family firm's choice of internationalization strategy reflects the preference of the family owners. As a corollary, we argue that a family firm's international strategy is influenced by the controlling families' ability (and willingness) to exercise strategic, administrative, and operating control over both management and managerial actions. Later, we build on these core arguments drawn from the SEW perspective and agency theory and weave them together by adopting the willingness-ability framework to theorize and propose how family ownership and family management directly influence family firms' international strategies and how family management and foreign institutional ownership moderate the relationship between family ownership and internationalization strategy.

2.3 | Family ownership and internationalization

The degree of family ownership is an important source of heterogeneity in family businesses (Chrisman, Chua, & Sharma, 2005; Le Breton-Miller, Miller, & Lester, 2011). To retain control over the firm, family owners often invest a disproportionate share of their wealth in firm activities. The undiversified nature of that investment influences promoter families not only to exercise their control rights through mechanisms such as dual-class stocks, pyramidal ownership, and cross-holdings (Claessens, Djankov, & Lang, 2000; Faccio & Lang, 2002; La Porta, Lopez-de-Silanes, Shleifer, & Vishny, 1999), but also to influence their firms' strategic direction (Chua, Chrisman, & Sharma, 1999). We argue that higher the degree of family ownership, the greater the family owners' ability to influence strategic decisions such as internationalization.

Agency theorists have argued that equity ownership influences managers' risk-taking propensity (Eisenhardt, 1989; Zajac & Westphal, 1994) in such a way that managers become risk averse as their ownership in the firm increases (Beatty & St Zajac, 1994; Denis, Denis, & Sarin, 1997). Accordingly, scholars (Shleifer & Vishny, 1997; Thomsen & Pedersen, 2000) argue that because family owners usually invest a large proportion of their wealth in the firm, this highly undiversified shareholding can lead to a risk-averse attitude. Whereas minority shareholders can diversify their

risk by investing across multiple firms, family owners with a significant part of their wealth invested in the firm are less able to do so and must bear a disproportionate amount of long-term financial risk (Ashwin, Krishnan, & George, 2015). Further, because family wealth and the family fortune are tied to the family firm, when a family has a larger proportion of shares, the firm is more likely to serve family interests and cater to family values in its strategic decision making (Bianco, Bontempi, Golinelli, & Parigi, 2013; George, Wiklund, & Zahra, 2005; Liu et al., 2011). Unlike dispersed individuals or institutional owners, family owners are not only concerned with the financial consequences of their investments, but they also tend to prioritize the objective of preservation or enhancement of SEW as a key criterion influencing the decision-making process (Berrone et al., 2012; Gómez-Mejía et al., 2007). Family owners' willingness to preserve or enhance family SEW influences the management (regardless of whether the firm is managed by family members or only nonfamily professionals) of family firms to consider both economic and noneconomic objectives and sometimes forgo financially lucrative entrepreneurial opportunities such as internationalization (Berrone et al., 2012; Gomez-Mejia et al., 2011). Family owners' unwillingness to pursue risky strategies such as internationalization depends on their ownership stake (George et al., 2005; Liu et al., 2011) in such a way that the higher the stake, the lower the willingness to internationalize.

Although the desire to preserve SEW enhances the willingness to exercise control, greater family ownership makes the family owners more able to exercise control over management through the board. Their decision-making discretion increases substantially with the higher accumulated shareholding of the family members (Anderson & Reeb, 2004; Carney, 2005). Majority ownership grants the owner the right to staff management and supervisory boards, alter and/or transfer firms' assets, and adopt most crucial strategic decisions to preserve the interests of the family owners. Large family shareholders, whose wealth depends heavily on firm performance, are eager to monitor management and have enough power to ensure that management and the board choose strategies that consider the family's SEW. According to Shleifer and Vishny (1997, p. 758), "large investors represent their own interests, which need not coincide with the interests of other investors in the firm, or with the interests of employees and managers." These dominant shareholders usually exert great control over managers and frequently hold controlling power, thus enabling them to dictate an agenda (Guedhami & Pittman, 2006).

Combining all of the above arguments, we posit that higher family ownership not only decreases family owners' willingness to allow family firms to pursue internationalization, but also increases their ability to influence management to avoid risky internationalization activities. Hence, we hypothesize as follows:

Hypothesis 1 (H1) *Family ownership will be negatively associated with the internationalization of emerging economy family firms.*

2.4 | Family management and internationalization

Another potential source of heterogeneity in family firms is whether family managers or nonfamily professional managers oversee daily operations. Family managers generally differ in their motivations, risk perceptions, risk-bearing capabilities, techno-management styles, and techniques from nonfamily professional managers due to the former group's urge to protect both economic (Anderson & Reeb, 2004; Villalonga & Amit, 2006) and socioemotional (Berrone et al., 2012) family interests, along with their distinctive grooming and training as managers (Dyer, 1986; McEachern, 1975; Schein, 1968).

Family managers are likely to be more concerned than nonfamily professional managers about protecting the family's socioemotional wealth for several reasons. Because family owners have typically sunk a significant portion of their wealth into the firm, family managers often calculate the potential losses associated with a strategic decision in terms of the proportion of family wealth invested in the firm. Therefore, family managers' risk aversion is similar to that of family owners, as discussed earlier. Additionally, they are concerned about SEW and the longevity of the family "name" and are often interested in safeguarding them for future generations (Anderson & Reeb, 2003; Davis, Schoorman, & Donaldson, 1997). Family managers may discourage a new venture because of the potential threat to the *status quo* and the family's welfare (Schulze et al., 2001) and may not pursue risky but potentially profitable growth opportunities (Fernández & Nieto, 2006). Because family managers' dominant concern is the preservation and enhancement of the family's socioemotional wealth, they are less willing to pursue entrepreneurial opportunities such as internationalization because they might increase the likelihood of the loss of socioemotional wealth (Gómez-Mejía et al., 2007). Therefore, we conclude that family managers are likely to be more concerned about the protection of the family's economic and socioemotional wealth and the survival of family identity.

Additionally, family managers are more aware of the dearth of leadership and managerial capabilities in the family and the firm that is available to execute internationalization projects because leadership and managerial talent are often sourced from within the family (Gallo & Pont, 1996; Graves & Thomas, 2004; Okoroafo, 1999; Thomas & Graves, 2005). Family managers often have not had the opportunity to acquire knowledge about doing business in vast international territories, to develop valuable foreign contacts, or to obtain the international experience, language skills, or cultural intelligence needed to expand their business across borders (Okoroafo, 1999). This lack of managerial capabilities forces family firms to hire external managers, ceding some control over decision-making processes. This may be seen by family owners as a loss of the family's ability to exercise unconstrained authority, influence, and power over all aspects of the business (Schulze, Lubatkin, & Dino, 2003) and as a threat to the foundation of SEW protection (Gomez-Mejia et al., 2007, 2010). The scarcity of competent family managers makes family-managed firms more conservative about internationalization, negatively influencing the rate at which family firms grow internationally and embracing high commitment modes of internationalization such as OFDI (Child, Ng, & Wong, 2002; Graves & Thomas, 2008; Thomas & Graves, 2005). Internationalization is also associated with greater information asymmetries that make it more difficult for the family to develop effective monitoring systems to ensure that nonfamily executives will act in accordance to the family's wishes. Therefore, family managers are less willing to pursue an internationalization strategy.

Further, family involvement in management not only enhances the family's strategic control but also bestows the family with greater administrative and operating control. Family managers potentially provide stricter oversight because of their lengthy involvement with the firm, as monitoring requires not only knowledge and information about firm technology and processes, but also greater command and control over employees (Anderson & Reeb, 2003). As a result, family managers can negatively influence their firms' internationalization strategies in such a way that family-managed firms internationalize less than nonfamily, professionally managed family firms. Hence, we hypothesize:

Hypothesis 2 (H2) *Family management will be negatively associated with the internationalization of emerging economy family firms.*

2.5 | Family ownership and internationalization: Moderating role of management

Using the “willingness and ability” framework, we have argued that a family with high shareholdings has both the willingness and the ability to negatively influence family firms’ international expansion activities. We have also argued that family managers, by virtue of their strategic and administrative control over the allocation of resources, negatively influence firms’ internationalization strategies. Extending these arguments presented as a build-up to Hypotheses 1 and 2, we argue that due to the combined effect of higher family ownership and family management, the owning family has not only less willingness to internationalize, but also a greater ability to influence the firm to move slowly on its internationalization strategy. In such firms, family members have substantial ownership control and top decision-making authority, enabling them to exert a significant influence on the firm’s internationalization (Arregle et al., 2012; Gomez-Mejia et al., 2010; Zahra, 2003). There are close and often inseparable ties between the dominant family and the firm because of the family’s strong control through its ownership, management, and influence on the firm’s strategic investments (Arregle et al., 2017). Family members, by virtue of their executive control of management, further enhance the ability of dominant family owners to decrease the firm’s internationalization efforts. This provides the family with the unique opportunity to pursue family-centered goals and engage in correspondingly unique strategic behavior (Carney, 2005; Duran, Kammerlander, Van Essen, & Zellweger, 2016; Zellweger, Richards, Sieger, & Patel, 2016). Thus, we hypothesize as follows:

Hypothesis 3 (H3) *The negative relationship between family ownership and the internationalization of family firms will be strengthened by family management.*

2.6 | Family involvement and internationalization: The moderating role of foreign institutional ownership

External owners such as institutional investors (banks, investment firms, venture capitals, and institutions such as pension funds) play a key role in monitoring managers and recommending strategic actions, thereby influencing a firm’s governance and performance in multiple ways. First, they exert performance pressure on the firm’s top management, leading to the pursuit of economic goals (Nashier & Gupta, 2016). Second, they use voting as a tool of governance to punish errant managers (Mallin, 2012). Third, they lead shareholder activism, when required, to influence the firm’s strategic decisions (Gillan & Starks, 2003). Fourth, they augment the firm’s resource position by bringing in tacit and explicit knowledge from a diverse network (Zhou et al., 2016). Consequently, family owners’ and management’s decisions about family firms’ internationalization are likely to be influenced by these external owners (George et al., 2005; Humphery-Jenner & Suchard, 2013). The higher the FII shareholding, the greater their ability to exert pressure on the family owners/managers.

Numerous studies in international business recognize that FIIs positively influence firms’ internationalization (Douma, George, & Kabir, 2006; Gul, Kim, & Qiu, 2010; Tainio, Huolman, & Pulkkinen, 2001), in particular in EEs (Hoskisson, Eden, Lau, & Wright, 2000; Humphery-Jenner & Suchard, 2013; Jean, Tan, & Sinkovics, 2011). FIIs based in developed market economies may provide EE family firms with access to a global pool of financial resources (Taylor, 1990). FIIs have a wealth of experience in coping with managerial opportunism and have a better understanding of the risk–return relationships of investment in various national and cultural settings (Thomsen & Pederesen, 2000). Based on their global investment experiences, FIIs can provide family firms with access to strategic expertise and knowledge to help them expand internationally (Tihanyi, Johnson,

Hoskisson, & Hitt, 2003), particularly through OFDI. They can provide access to extensive networks of business partners and other local institutions in the host countries.

Family owners' willingness to bear risk varies with the relative size of their stake in the firm and their personal preference for risk compared to those of nonfamily owners such as FIIs (Fama & Jensen, 1983; Reagan & Stulz, 1986; Wiseman & Gomez-Mejia, 1998). Family firms with higher investments by FIIs are likely to have more frequent and deeper engagement with FII representatives, leading to an influx of new knowledge and resources and helping not only family owners and managers, but also family firms to overcome regional orientation and strategic stagnation (Miller, Breton-Miller, & Scholnick, 2008). If internationalization requires substantive capital outlays to build large-scale foreign operations and the payoff from these investments is uncertain, FIIs with a greater understanding of the risk–benefit trade-offs in the international markets will have a more positive influence in shaping family owners' and managers' risk perceptions toward internationalization activities, thereby reducing their unwillingness to promote internationalization. Therefore, we conclude that a greater presence of foreign institutional ownership helps family owners and managers improve their understanding of international markets, reduce the fear of the unknown, and appreciate the benefit of internationalization. As a result, family owners and managers decrease their unwillingness and become less averse to internationalization than in a situation with no or low presence of foreign institutional ownership. Based on these arguments, we propose the following moderating hypothesis on the influence of foreign institutional ownership on the internationalization of family firms:

Hypothesis 4a (H4a) *Foreign institutional ownership will weaken the negative relationship between family ownership and the internationalization of family firms.*

Hypothesis 4b (H4b) *Foreign institutional ownership will weaken the negative relationship between family management and the internationalization of family firms.*

Figure 1 presents a conceptual model depicting the hypothesized relationships developed here.

3 | METHODOLOGY

3.1 | Sample and data

Because we are interested in the internationalization strategies of large Indian family firms, we examine every family firm in the BSE 500 Index from 2007 to 2013. The BSE is India's oldest

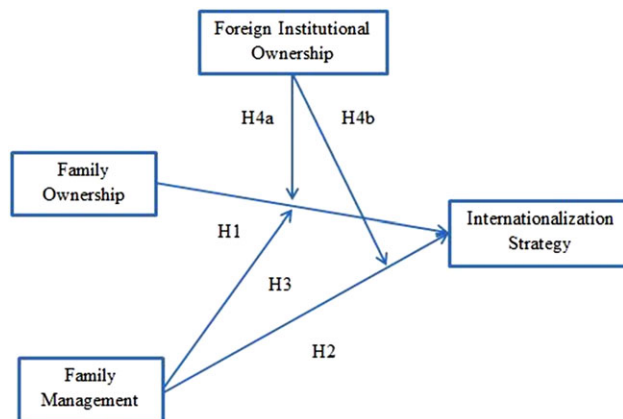


FIGURE 1 Conceptual model

stock exchange. Approximately 93% of the total market capitalization of firms listed in the BSE is represented in the BSE 500 Index, comparable to the Global S&P 500. It is to be noted that compared to the overall population of Indian family firms, our sample has a clear large-firm bias, consistent with our research questions. Because many of the variables need to be coded manually, a laborious and time-consuming process, we have considered family firms belonging to the BSE 500 only. Moreover, because most developing countries' internationalizing firms are also some of those countries' largest firms (Dau, 2012), our selection of S&P BSE 500 firms is most appropriate to test our theoretical propositions related to family firms' internationalization strategies in India.

We conduct this study using data from a sample of Indian family firms for two important reasons. First, India has a long history of family and community-based firms (Howorth, Rose, & Hamilton, 2006). The strong overlap between the family and business systems in India often shapes firms' strategic choices. Moreover, India's socioeconomic and cultural diversity is reflected in the heterogeneity of family firms and their internationalization efforts. This heterogeneity of firms and the attendant variations in their strategic choices create a quasi-natural experimental setting to examine our research questions of interest. Second, economic liberalization in India has resulted in a significant easing of capital control measures, facilitating investment outflows to foreign markets and making India the second-largest home to EMNEs (BCG, 2013). Firms are also increasingly relying on OFDI for internationalization (Dau, 2012; Gaur et al., 2014). Therefore, we expect a greater variation in the international strategies of family firms from India.

Because we are interested in studying the internationalization of only Indian family firms, we remove 61 Indian subsidiaries of foreign MNEs and 41 state-owned enterprises. To avoid measurement complications, we also exclude 55 financial services industry firms because they follow different accounting standards and are governed by very different regulations for OFDI. Following the principles used by prior research studies (Claessens, Djankov, Fan, & Lang, 2002; Singla, Veliyath, & George, 2014; Villalonga & Amit, 2006), we identify family firms if the founding family has a stake of 20% or more in the firm and either of the following two criteria are met: (a) a member of the founding family is on the board of the firm and/or (b) a member of the founding family is the chairperson of the board, managing director, or CEO. Of the remaining 343 Indian private firms in the S&P BSE 500 Index, 303 firms are identified as family firms, which constitute our primary sample set.

Researchers (Chittoor et al., 2015; Chittoor, Sarkar, Ray, & Aulakh, 2009; Gubbi, Aulakh, & Ray, 2015; Khanna & Palepu, 2000; Khanna & Rivkin, 2001) frequently use *Prowess*, an electronic database from the Centre for Monitoring the Indian Economy (CMIE), for large sample studies on India. Data corresponding to our main dependent variables, such as export intensity and OFDI intensity, are taken directly from *Prowess*. We verify this information and fill in any missing details with the data from Reserve Bank of India monthly reports. These monthly reports on OFDI by firms provide information about the name of the parent of the foreign subsidiary, its ownership status, the operational field of the subsidiary, the name of the host country, total investment by the Indian parent firm, and the current status of that investment. Using these sources, we have created a comprehensive database on the foreign operations of each firm. In addition, we collect different categories of shareholding information from *Prowess*, which captures shareholding break-ups in most publicly listed companies for the last 10 years, verifying them with data from annual reports and company websites. Other firm-level financial information is also collected from *Prowess*. We have also manually coded the presence of the professional CEO from a variety of sources, including annual reports, company websites, and data published by the Ministry of Corporate Affairs, Government of India.

In our sample of family firms, 10% of the observations come from the manufacturers of pharmaceutical products, nearly 6% from the software services, almost 7% from the producers of chemical and chemical products, 5% from the manufacturers of basic metals, and the rest from other types of manufacturing and services. The services sector constitutes 26% of the sample, and the remainder are manufacturing firms.

3.2 | Dependent variables

Our study's dependent variable is a firm's *internationalization strategy*. Drawing from prior empirical research in IB, we adopt multiple measures of internationalization strategy because internationalization is a multidimensional construct starting from lower-commitment exports to higher-commitment OFDI activities. *Export intensity*, measured as the ratio of the firm's revenue from foreign countries to total sales, is by far the most widely used indicator in empirical IB research (Bausch & Krist, 2007; Capar & Kotabe, 2003; Elango & Pattnaik, 2007). Exporting has traditionally been regarded as the first step to entering international markets and often serves as a platform to build more involved international expansion activities (Kogut & Chang, 1996). Next, we use *OFDI intensity* to measure a firm's foreign investments to its total assets in a given year (Bhaumik, Driffield, & Pal, 2010; Chari, 2013), capturing a riskier, more involved, and high commitment mode of internationalization.

3.3 | Independent variables

3.3.1 | Promoter family ownership

Since the purpose of this study is to observe the influence of ownership at a disaggregate level, we first examine the influence of promoting the family's total equity holdings over the family firm's internationalization strategy. We operationalize *promoter family ownership* as the controlling family's aggregate equity shareholdings. The measurement of controlling family ownership in this study is similar to the approach of Lien and Li (2014), Filatotchev et al. (2007), and Chang (2003), as we summarize the percentage of common shareholdings of undivided family members with the same family name as the largest owner.

3.3.2 | Family-managed firms

Following Singla, Veliyath, and George (2014), Anderson and Reeb (2003), and La Porta et al. (1999), we measure *family-managed firms* by using a dummy variable that takes a value of '1' when family members occupy executive positions in the family firms and '0' otherwise. This means that the promoter, any member of the promoter family, or any individual sharing the promoter's family name is the executive chairperson of the board of directors, the managing director, or the chief executive officer.

3.3.3 | Foreign institutional ownership

In addition to promoter ownership dispersion/concentration, it is important to focus on the various non-promoter investors in Indian family firms. Therefore, we made the next broad categorization of domestic versus foreign ownership and concentrate on foreign institutional investors. We operationalize *foreign institutional ownership* as the percentage of common shareholdings by foreign institutional investors, including foreign venture capitalists (George et al., 2005; Humphery-Jenner & Suchard, 2013).

3.4 | Control variables

We include numerous control variables to account for various confounding effects. The extant literature has argued that larger firms have greater financial and nonfinancial resources that are conducive to internationalization and vice versa (Chen et al., 2014; Tihanyi, Ellstrand, Daily, & Dalton, 2000). We use *firm size*, measured as the natural logarithm of total sales, to control for size effects on firm internationalization efforts. Since older firms have greater ability to collect information about international operations and build the infrastructure for internationalization (and vice versa), *firm age* is controlled and measured as the log of the years a firm has been in existence (Zahra, 2003). We control for *export intensity*, computed as the ratio of exports to total sales, to control for its influence on OFDI intensity; we control for *current ratio* and *debt to equity ratio* because available financial slack has an impact on internationalization (Tihanyi et al., 2003). Since greater investments in *R&D* and *marketing* activities are associated with higher levels of international expansion (Chittoor et al., 2009; Herrmann & Datta, 2005), we control for them in our analysis. We measure *R&D intensity* by computing annual research and development (R&D) expenses as a percentage of sales and *marketing intensity* by computing total annual marketing expenses as a percentage of sales. We also control for the firm's *BG affiliation* because such ties may provide network-related advantages for affiliates in internationalization (Dau, 2012). Since a firm's prior performance may influence its international expansion decisions, we include it as a control variable and measure it as the percentage of earnings before depreciation, interest and taxes to total assets (Gomez-Mejia et al., 2010). We include dummy variables for years to control for the potential impact of macroeconomic conditions and industry dummies (at the two-digit NIC level) to control for industry effects. We also control for the level of *pro-market reforms* implemented in India because liberalization and economic reforms influence domestic firms' internationalization trajectories (Dau, 2012, 2013).

4 | MODEL SPECIFICATION AND RESULTS

We test our hypotheses using generalized least square (GLS) models for panel data, with correction for heteroskedasticity and autocorrelation. GLS is appropriate for the panel data analysis using random effect models because it produces residuals that estimate the unit-specific serial correction of the errors associated with panel data, transforming the model into one with serially independent errors (Beck & Katz, 1995; Greene, 2000). It also maximizes the degree of freedom (Lee, Makhija, & Paik, 2008). As such, it is commonly used in the literature to address the problems associated with this kind of data (Dau, 2012). We do not consider fixed effect models because those would automatically drop the time-invariant measures (e.g., industry and firm dummies) and variables that change slightly over time (ownership variables) (Kennedy, 1998). We confirm this by running the Hausman test, which also suggests that the random effects models are adequate for our analysis. We use the statistical software STATA in our study, and specifically the STATA command, "xtgls," for our analysis. We verify the various assumptions of regression analysis, including the normality of residuals, heteroskedasticity, and collinearity diagnostics. All of the VIF values are less than 2.5, indicating that multicollinearity is not a concern in our study.

Table 1 provides the descriptive statistics of the variables used to test the internationalization efforts of family firms in general. In our sample of 1,702 family firm-year observations, we find that (a) the average firm is approximately 24 years old, (b) the average firm has a return on assets of almost 10%, (c) the average firm spends nearly 4% of its sales revenue on marketing, (d) the average firm spends 0.7% on R&D, and (e) the average firm earns approximately 21% of its sales from

TABLE 1 Means, standard deviations, and correlations: Full sample of 1,702 observations of family firms only

	Mean	S.D.	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15
OFDI intensity (%)	4.631	11.436	1.000														
Export intensity (%)	20.645	28.417	0.312	***	1.000												
Promoter family ownership (%)	51.216	16.055	-0.178	***	-0.195	***	1.000										
Foreign institutional ownership (%)	10.40	10.22	0.015	0.108	-0.395	1.000											
Family-managed firms (yes = 1, else = 0)	0.662	0.473	-0.082	***	0.004	0.092	***	-0.037	*	1.000							
Prior profitability (%)	9.509	10.155	-0.093	***	0.079	**	0.047	*	0.002	-0.029	1.000						
Current ratio	1.298	1.100	0.009	0.110	***	0.022	0.003	0.085	***	0.100	***	1.000					
Debt/equity ratio	0.968	1.589	-0.056	**	-0.084	***	0.008	-0.028	0.143	***	-0.269	***	-0.068	**	1.000		
Marketing intensity (%)	3.982	12.356	0.034	-0.082	***	-0.005	0.057	**	-0.102	***	-0.083	***	0.021	0.304	***	1.000	
R & D intensity (%)	0.637	1.961	0.043	*	0.163	***	0.057	**	-0.024	0.056	**	-0.201	***	-0.052	**	-0.036	1.000
Firm age ^a	3.194	0.772	-0.050	**	-0.025	-0.181	***	0.012	0.040	*	0.100	***	-0.012	0.062	**	-0.111	***
Firm sales ^b	9.040	1.821	0.005	0.023	-0.119	***	0.197	***	-0.053	**	0.146	***	-0.149	***	-0.089	***	-0.037
Business group (yes = 1, else = 0)	0.754	0.431	0.062	**	-0.103	***	-0.100	***	0.182	***	-0.223	***	-0.048	**	-0.056	**	-0.032
Pro-market reforms	54.241	0.321	-0.029	-0.006	0.038	0.070	***	0.011	-0.055	**	0.003	-0.019	-0.021	0.020	0.042	0.088	***

^a Natural logarithm.

^b Natural logarithm.

*Significance level: * $p < .10$, ** $p < .01$, *** $p < .001$ (two-tailed).

exports. Approximately 5% of the firms' assets are invested in assets outside the home country. From a governance perspective, the average equity holding by controlling family members is just above 50% in the family firms (indicating a significant quantum of control), and average foreign institutional shareholdings are approximately 10%. We find that 34% of the observations are related to family firms that are managed by nonfamily professionals, and the rest are managed by family managers. Overall, our sample of family firms shows a good balance in terms of firm age, size, profitability, international investments, family shareholdings, and industry diversity.

The results of GLS regression pertaining to the relationships between the various independent and moderating variables and the dependent variables for a sample of 303 family firms are provided in Table 2.

Model 1 tests the relationship between promoter family ownership and exporting behavior of family firms with other control variables. The regression result demonstrates that, as hypothesized, promoter family ownership is negatively and significantly related to export intensity ($\beta = -0.846$; $p < .001$). In Model 7, we test the effect of promoter family ownership on OFDI intensity and find a negative and significant association ($\beta = -0.5504$; $p < .001$). Overall, our findings suggest that the higher the family ownership, the lower the internationalization of family firms, both through exports and international investments, thereby corroborating Hypothesis 1.

The results corresponding to Hypothesis 2, presented in Models 5 and 11, provide a perspective on how the family's role in management affects family firms' internationalization strategies. The family-managed firm dummy has a negative and significant impact both on export intensity ($\beta = -0.3912$; $p < .10$) and on OFDI intensity ($\beta = -0.3325$; $p < .001$), as hypothesized. Such results may also be interpreted to indicate that the direct effects of the nonfamily professional management dummy on internationalization strategy variables are positive and significant. Overall, our results lend support to Hypothesis 2.

Hypothesis 3 suggests a moderating effect of family management on the negative relationship between promoter family ownership and the internationalization of family firms. For this, we have estimated separate models in which the interaction effects between family-managed firms and the family shareholding variable are included. We centered the explanatory variables by their means (Aiken & West, 1991). The coefficient for the interaction effect in Model 6 is positive ($\beta = 0.3531$) and significant ($p < .05$) for export intensity. In Model 12, we observe the same positive ($\beta = 0.1894$) and significant ($p < .05$) effect with respect to OFDI intensity. Both these results indicate that family management has a moderating influence in such a way that the negative influence of family ownership on firms' internationalization becomes stronger in family-managed firms. To provide further insights into the moderating effects, we create two plots that compare the interaction effects of promoter family ownership and owner-managers and that of promoter family ownership and professional managers on different dimensions of internationalization. As shown in Figures 2 and 3, the line trend indicates that the negative promoter family ownership-internationalization relationship becomes stronger when the management is in the hands of family members, as for a given level of promoter family ownership, both export intensity and OFDI intensity are lower for family-managed firms. This result lends support to Hypothesis 3. We further find that when family ownership is low, internationalization is much higher for the professionally managed firm compared to their family-managed counterparts; however, there is essentially very little difference when family ownership is high. In other words, with higher family shareholdings, the difference between professional managers and family managers gets blurred. This indicates that family owners enjoy high discretionary power and the ability to craft internationalization strategy that they think is most appropriate for the firm.

TABLE 2 Regression analysis of family firms' governance and managerial capabilities on internationalization strategy

	Model 1 Export intensity	Model 2	Model 3	Model 4	Model 5	Model 6	Model 7 OFDI intensity	Model 8	Model 9	Model 10	Model 11	Model 12
Promoter family ownership (%)	-0.8460 ***	-1.4741 ***	-1.4185 ***		-0.8679 ***	-0.9084 ***	-0.5504 ***	-0.3407 ***	-0.4317 ***		-0.6229 ***	-0.6874 ***
Family-managed firms (yes = 1, else = 0)				-0.4242 **	-0.3912 *	-0.3956 *				-0.3341 ***	-0.3325 ***	-0.2910 ***
Promoter family ownership * Family-managed firms						0.3531 **						0.1894 **
Foreign institutional ownership (%)		-0.3955 **	-0.3931 **	-0.4760 **			0.6532 ***		0.5417 ***	0.6374 ***		
Foreign institutional ownership * Promoter family ownership			0.0881						-0.2879 **			
Foreign institutional ownership * Family-managed firms				0.7180 ***						0.2821 ***		
Prior profitability (%)	-0.0012	0.0134	0.0140	0.0117	-0.0030	0.0001	-0.0231 **	-0.0252 **	-0.0275 **	-0.0240 **	-0.0281 **	-0.0258 **
Current ratio	0.0407	0.3584 **	0.3472 **	0.8325 ***	0.0337	0.0462	0.0194	0.0627	0.0602	0.1481 **	0.0562	0.0085
Debt/equity ratio	-0.0327	0.0244	0.0356	-0.0454	-0.0352	-0.0413	-0.095 *	-0.0639	-0.0829	-0.1036 *	-0.0719	-0.0796
Marketing intensity (%)	-0.0010	-0.0051	-0.0061	-0.3673 ***	-0.0020	-0.0040	0.0154 **	0.0053	0.0064	0.0014	0.0145 **	0.0153 **
R & D intensity (%)	0.1554 **	0.4786 ***	0.4782 ***	0.3800 ***	0.1599 **	0.157 **	0.0354	0.0189	0.0149	0.5538 ***	0.0271	0.0253
Firm age ^a	-0.9926 ***	-0.5621 **	-0.5394 ***	0.0225	-0.9323 ***	-1.033 ***	-0.2703 **	-0.3100 **	-0.3287 ***	-0.0901	-0.2786 **	-0.3396 ***
Firm sales ^b	-0.0195	-0.1807 *	-0.1572	1.1528 ***	-0.0490	-0.0949	-0.0713	-0.2301 ***	-0.1885 ***	-0.0559	-0.101 *	-0.1468 **
Export intensity (%)							0.0692 ***	0.0679 ***	0.0668 ***	0.0775 ***	0.0680 ***	0.0713 ***
Business group (yes = 1, else = 0)	-1.015	-1.5927 ***	-1.5693 **	-1.8108 **	-1.1245	-1.1587	1.1679 ***	1.3160 ***	1.2685 ***	1.1439 ***	1.2726 ***	1.3598 ***
Promarket reforms	0.8492 **	1.0058 **	0.9600 **	-0.2365	0.8495 ***	0.8562 ***	0.2554	0.3066	0.3703	-0.5644	0.2066	0.2575
Year dummies	Included	Included	Included	Included	Included	Included	Included	Included	Included	Included	Included	Included
Industry dummies	Included	Included	Included	Included	Included	Included	Included	Included	Included	Included	Included	Included
Wald chi-square	8675.13 ***	11772.35 ***	12217.90 ***	8049.07 ***	8395.45 ***	8542.93 ***	1137.50 ***	1260.86 ***	1331.61 ***	1490.57 ***	1235.16 ***	1298.10 ***
No. of observations	1702	1702	1702	1702	1702	1702	1702	1702	1702	1702	1702	1702

^a Natural logarithm.
^b Natural logarithm.
*Significance level: $p < .10$; ** $p < .01$; *** $p < .001$ (two tailed).

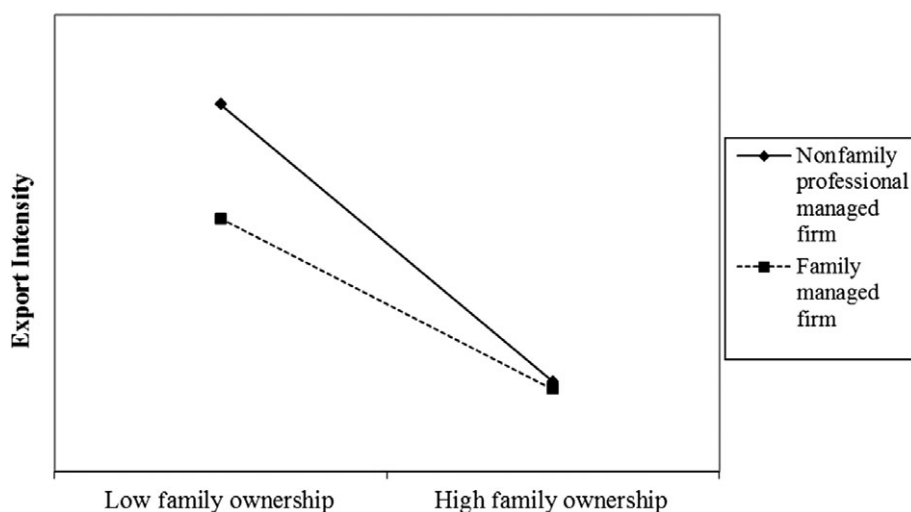


FIGURE 2 Family ownership–internationalization relationship: The moderating role of family management

Hypothesis 4a presents a moderating relationship and suggests that a negative promoter family ownership–internationalization relationship becomes weaker when family firms have large foreign institutional ownership. We test this by introducing the interaction term between foreign institutional ownership and promoter family ownership. The association of the interaction term with export intensity in Model 3 is positive and statistically insignificant. Therefore, moderating Hypothesis 4a for internationalization strategy measured in terms of export intensity did not find support. However, we find a significant negative ($\beta = -0.2879$) association between interaction terms with OFDI intensity in Model 9. We create a plot as depicted in Figure 4 to interpret the result better. The line trend indicates that the internationalization strategy as measured by OFDI intensity is always greater for family firms with higher foreign institutional shareholdings as compared to that of lower foreign institutional shareholdings, though OFDI intensity becomes progressively lower as family ownership increases. In other words, for a given level of family ownership, OFDI intensity is higher in the

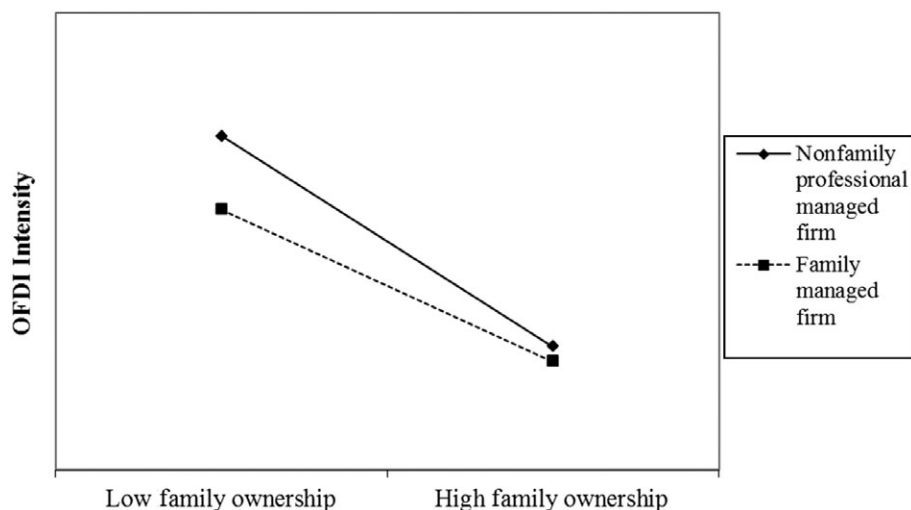


FIGURE 3 Family ownership–internationalization relationship: The moderating role of family management

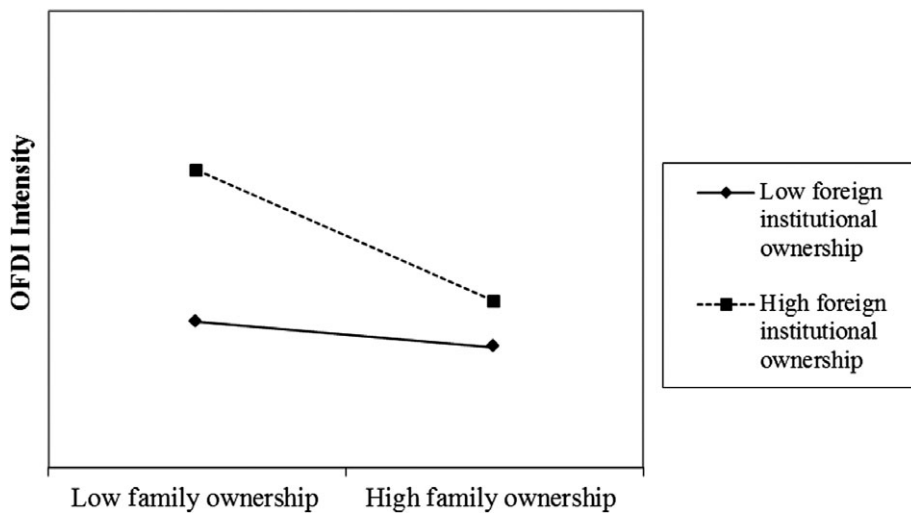


FIGURE 4 Family ownership–internationalization relationship: The moderating role of foreign institutional ownership

presence of higher foreign institutional ownership. We observe that firms with concentrated family ownership manifest the family owners' reluctance to internationalize, but greater participation of foreign institutional investors reduces their reluctance, leading to relatively high internationalization through OFDI. This lends support to Hypothesis 4a.

Similarly, Hypothesis 4b presents a moderating relationship and suggests that a negative family management–internationalization relationship becomes weaker when family firms have large foreign institutional ownership. We find, for export intensity, that the coefficient of the interaction term in Model 4 is positive ($\beta = 0.7180$) and statistically significant ($p < .001$). Similarly, for OFDI intensity, we find positive ($\beta = 0.2821$) and significant ($p < .001$) association in Model 10. We observe that the negative effect of family management on both export intensity and OFDI intensity is lower for family firms with higher foreign institutional shareholdings as compared to those with lower foreign institutional shareholdings. The line trend in Figure 5 clearly indicates that for family-managed firms, OFDI intensity is greater at a higher level of foreign institutional ownership compared to that at a lower level of foreign ownership. This lends support to Hypothesis 4b. Therefore, we conclude that family managers typically manifest their reluctance to internationalization, but greater participation of foreign institutional investors significantly reduces their reluctance toward internationalization.

Overall, we find support for our theorization that in the presence of higher foreign institutional ownership, family owners and managers are less averse to firms pursuing internationalization activities, particularly through OFDI.

Although we have not hypothesized about the direct effect of foreign institutional ownership on the internationalization of family firms, we find diverse outcomes with respect to exports and OFDI in Models 3 and 9. While researching the U.S. manufacturing firms, Helpman, Melitz, and Yeaple (2004) observed that productivity gains from outward FDI are much higher than the productivity gains from exports. This productivity “hierarchy” is confirmed for several other countries such as Germany (Wagner, 2006) and Japan (Tomiura, 2007). Furthermore, internationalization through exports from emerging markets requires knowledge about leveraging home country advantages to produce low-cost products and services. The FIIs from developed markets have little understanding and insights of the same. On the contrary, they have vast knowledge repositories about foreign

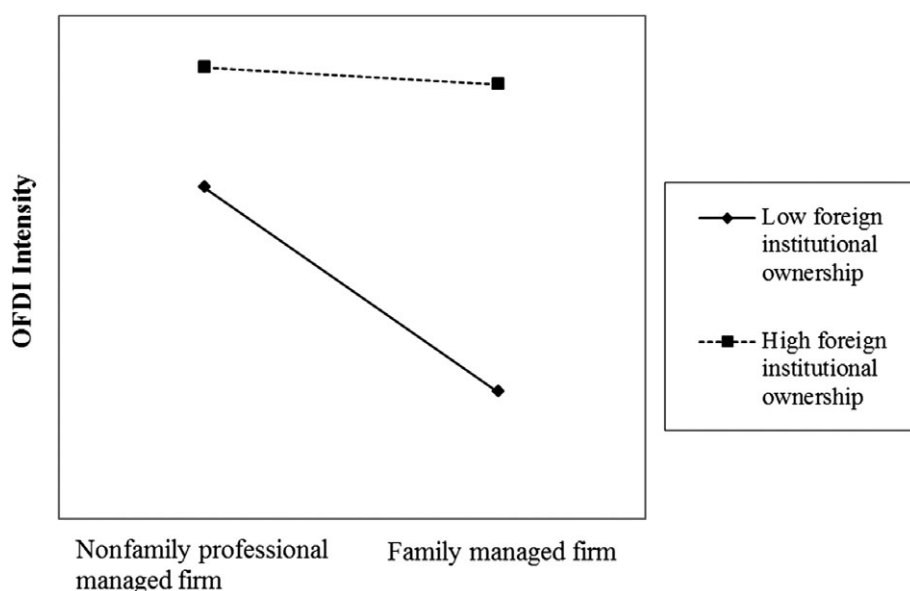


FIGURE 5 Family management–internationalization relationship: The moderating role of foreign institutional ownership

markets around the globe, which they can share with firms attempting high commitment internationalization through OFDI. The above may explain why higher ownership of FIIs in family firms has positive influence on OFDI intensity but negative influence on export intensity.

The coefficients for numerous control variables in most of the models are significant in the expected direction. We find that the relationship between prior profitability and the expansion of international investments through OFDI investments is negative and significant in all cases, suggesting that family firms might be increasingly investing in foreign countries to compensate for increased competition and reduced profitability in the home market. Exports and R&D intensity are also positively related to OFDI-based internationalization, suggesting both that exporting firms are more likely to expand their international investments and that a prior stock of exporting knowledge helps firms in their investments. We find that older firms are less likely to invest globally, concentrating on domestic markets for growth. We also find that larger firms are less likely to internationalize. This is important, since younger and smaller firms in emerging economies are nimbler, have less organizational inertia, and possess greater entrepreneurial spirit, leading them to move abroad more than their established, larger counterparts.

4.1 | Addressing endogeneity concerns

Endogenous independent variables often lead to biased and inconsistent regression coefficients. For example, not only may ownership and management influence the internationalization strategy, internationalization might also cause a change in family’s involvement in ownership and management of family firms. Hence, we have adopted multiple approaches to rule out the possibility of endogeneity in our results. To control for the potential reverse causation between our dependent variable of internationalization strategy measured in terms of export intensity and OFDI intensity and the predictor variables of family ownership and management, we reran our analysis by lagging the explanatory variables by 2 and 3 years. We find no qualitative difference in the parameter estimates, indicating that the possibility of endogeneity due to reverse causation is not likely to be significant. Prior

studies (D'Angelo, Majocchi, & Buck, 2016; George et al., 2005; Zahra, 2003) used this approach to deal with potential endogeneity problem.

Furthermore, following Greene (2003; Arregle et al., 2012; Miller, Breton-Miller, & Lester, 2011; Villalonga & Amit, 2006), we have attempted to control for endogeneity for dummy variable predictors by carrying out Heckman two-step treatment effect regressions. This requires identification of a variable that is correlated with the first-stage probit model's outcome (i.e., family members in key management positions), but not with the second-stage model's outcome (i.e., internationalization strategy) (e.g., Hamilton, 2006). We identify a "percentage of male offspring of the key leader of the family" variable to demonstrate such a relationship, as in the Asian context, males traditionally dominate the upper echelons of corporate leadership. The cultural and social norms undervalue female identity and disadvantage women from joining the family business and assuming top leadership positions. Hence, if the key leader of the family has a high percentage of male children, the important management positions in the firm are more likely to be occupied by family members (Chung & Luo, 2013). However, that is unlikely to influence internationalization strategies of individual family firms.

Along with this variable, we have introduced firm's prior international involvement and age (Arregle et al., 2012), sales growth (Villalonga and Amit, 2006), capital investments, current ratio and risk (Anderson & Reeb, 2003), and past performance (Chen et al., 2014) in the first-step probit model. We have measured past international involvement by dummy coding whether the firm had any sort of internationalization experience, either through exports (outward oriented) or imports (inward oriented). In the second step of the Heckman model, we have regressed the dependent variable—that is, internationalization strategy—with all the exogenous variables from our baseline model, along with an additional control variable, the inverse Mills ratio computed from the parameters of the first stage. As Heckman two-step procedures are more common for binary predictors, we have used instrumental variable regression to analyze predictors that are interval in nature (e.g., percentage shareholding by family) (Miller et al., 2011). Following earlier studies (e.g., Angrist & Evans, 1998; Bennedsen, Nielsen, Perez-Gonzalez, & Wolfenzon, 2007; Bertrand, Johnson, Samphantharak, & Schoar, 2008), we use "percentage of male offspring of the key leader of the family" as an instrument variable, as a greater number of male children may motivate the family not to dilute its ownership and to pass on the family legacy to their sons. However, that is unlikely to influence the internationalization strategy of individual family firms. Other control variables are the same as used in the first step of the Heckman procedure. We find no significant change in our results, which suggests that endogeneity bias has very little effect on our results. For robustness check, we use "total number of offspring of the key leader of the family" as another instrument variable and find no change in the results. All treatment effects and results of the instrumental variable analyses are available from the authors. In the end, we must caution the readers that teasing out causality is always complex with archival data, and the results should be interpreted in light of theoretical arguments that diverse family firms influence their internationalization strategies differently.

4.2 | Sensitivity analysis

We have conducted several robustness checks by using alternative measures of the main variables of interest wherever data availability permits. First, we run the analyses using alternate measures of the dependent variable. Although OFDI intensity (operationalized by the ratio of foreign investments to total assets) captures the higher commitment mode of internationalization, this does not differentiate between firms with investments in joint ventures and alliances and firms that have multiple wholly

owned operations abroad. As a result, OFDI intensity often fails to illustrate the extent and array of a firm's practical operations abroad (Dau, 2012). Therefore, we use a more precise measure—namely, the number of foreign subsidiaries of the firm—to measure the scale of a firm's multinational practical operations, as is often used by IB scholars (Dau, 2012; Lu & Beamish, 2001; Makino, Isobe, & Chan, 2004). Second, we compare our results with another measure of OFDI internationalization with foreign investments as a percentage of the total capital that firms employ in their domestic and international projects. In both cases, we observe no qualitative difference in our results, suggesting the findings are quite robust to alternate specifications. Third, we relaxed the definition of professional managers in family firms. We consider a family firm to be professionally managed if neither the promoter nor any of the individuals sharing the promoter's family name are part of the firm's management (e.g., board of directors, chief executive officer, managing director, chairperson, vice chairperson, executive director, or president) (Ayyagari, Dau, and Spencer, 2015). These measures do not produce qualitatively different results. Fifth, we also analyze models using alternative measures for the control variables (e.g., GDP per capita instead of promarket reform index; firm size measured by total assets in place of total sales; profitability measured by return on equity). These results are also consistent with those provided in the main models. Sixth, we test whether the moderating variable, foreign institutional ownership, is endogenously determined. Following Chen, Li, and Shapiro (2011), we do so by using two-stage instrumental models. We run the analyses with the foreign institutional ownership variable as a function of the control variables and then enter the results into a second equation with internationalization strategy as a function of the interaction between the foreign institutional ownership variable and the promoter family ownership variable. The unreported regression results are identical to the reported regression results. Seventh, since intergenerational differences in strategic choices are one of the sources of heterogeneity within strategic responses of family businesses and recent research has consistently established the significant difference between first-generation and later-generation family managers (e.g., Block, Jaskiewicz, & Miller, 2011; Miller et al., 2011), we control for that in our research. To divide family managers into different categories according to generation, we have labeled a “first-generation family CEO” or “founder CEO” as a person managing a family firm when it is less than 30 years old and “second-generation family CEO” or “non-founder CEO” as a person managing a family firm when the firm is more than 30 years old (Fernández & Nieto, 2005). We further cross-checked sensitivity by using a more liberal cutoff of ± 10 years for the founder CEO, and we see no qualitative difference in the results.

5 | DISCUSSION AND CONCLUSIONS

It is well recognized in the family business literature that family firms differ from other firms in many ways. Recent studies also highlight that variances in strategy and performance among family firms might be even greater than the variances between family and nonfamily firms, as significant heterogeneity exists among family firms (Arregle et al., 2012; Chrisman & Patel, 2012; Sanchez-Bueno & Usero, 2014). At this juncture, the advancement of family business theory critically depends on how scholars unearth various sources of heterogeneity in family firms and their impact on various kinds of strategies and performance in varieties of institutional contexts. In addition, with ever-intensifying globalization and liberalization aided by pro-market reforms in many EEs, internationalization has been increasingly seen as an important strategic option for the revitalization of family firms in these economies. Although the rapid development of emerging multinationals has emerged as a dominant research theme in international business in the past 15 years (Cuervo-Cazurra & Ramamurti, 2015), the distinctive features of the internationalization of EE family firms

and how heterogeneity among family firms impacts their internationalization strategies have received scant research attention. In this article, we present our theorization on how family firm heterogeneity based on different degrees of family involvement in ownership and management and the presence of other forms of ownership (such as foreign institutional ownership) influence the internationalization strategies of family firms. Most prior studies regard family involvement in ownership and family involvement in management as two interdependent or covariant factors (e.g., Fernández & Nieto, 2006; Gomez-Mejia et al., 2007, 2010, 2011); however, those factors' direct and independent impacts on family firms' internationalization strategies are rarely examined. We adopt the conceptualization advocated in recent studies (e.g., Liang et al., 2014) that family involvement in ownership and family involvement in management influence EE firms' internationalization independently and should be treated as different variables in studies focusing on the internationalization of family firms. We test our theorization using a sample of large publicly traded family firms in India and find empirical support for most of our hypotheses.

Overall, we observe that family ownership has a significantly negative influence on a family firm's internationalization strategy, and firms in India with higher family ownership are generally more averse to internationalization and can exercise greater control, throttling internationalization. We also observe that family firms managed by family managers are more averse to internationalization than family firms managed by nonfamily professionals. Our results also reveal that certain contingencies, such as the presence of family management, strengthen the owning family's ability to influence internationalization. In contrast, greater presence of foreign institutional owners weakens the owning family's negative disposition toward internationalization and its ability to negatively influence internationalization. We make several contributions to the family business literature focusing on the internationalization of family firms. Although our findings from a new empirical setting reinforce the widely held belief about family owners and family managers' aversion to internationalizing family firms, we highlight some nuanced contingencies stemming from the heterogeneity of family firms that may alter this preference. In this way, our research offers a more fine-grained understanding of how heterogeneity in ownership structure and management shapes the internationalization of family firms in an emerging economy.

We find that family ownership negatively affects firms' internationalization strategies and with increasing ownership, family owners become more willing and able to throttle internationalization. These findings not only validate our theoretical predictions, but also conform to the findings of many earlier studies (e.g., Bhaumik et al., 2010; Fernández & Nieto, 2006; Gallo & Sveen, 1991), which have reported that the proportion of a family firm's assets held overseas declines with an increase in family ownership. The results also tie in with previous studies (e.g., D'Angelo et al., 2016) in highlighting the importance of dominant family ownership in shaping family firms' strategies. With higher ownership concentration, other "voices at the table" become obsolete. Thus, dominant family shareholders serve family interests more and cater to family values and commitments in strategic decision making. However, in contrast to previous studies' findings that moderate levels of family ownership lead to the highest levels of international activities (Liang et al., 2014; Sciascia et al., 2012), we find that a relatively low level of family ownership is associated with a higher degree of internationalization. When family ownership is relatively low, family owners may be less averse to internationalization because financial risk is shared with other owners. Moreover, with significantly diluted ownership, family owners have a reduced ability to throttle family firms' internationalization strategies.

Many of the family-managed firms in India have low family ownership, sometimes as low as 20% (Das, 2012). The domestic institutional investors, primarily government financial institutions

(e.g., LIC, IDBI, IFCI, etc.) and private trusts, own large blocks of nonfamily shareholding. The owning families, because of their long-standing relationships with these institutional owners and reputation among other stakeholders, continue to enjoy their trust and confidence to manage the firms even though they do not have dominant ownership. This arrangement continues as long as the family managers perform satisfactorily and there is no dearth of supply of competent family managers. In such firms, family owners have limited ownership control due to minority shareholding, but the presence of family managers gives the family direct management control. This unique and nuanced contextual feature has prompted us to tease out the direct effect of family management on firms' internationalization. This has also helped us theorize and validate the conceptualization advocated by some scholars (e.g., Liang et al., 2014) that family involvement in ownership and family involvement in management should be treated as different variables in researching EE family firms' internationalization strategies.

Our results suggest that family-managed firms are more averse to internationalization than family firms managed by nonfamily professionals. The results are consistent not only with our theoretical predictions, but also with prior studies in other contexts (Arregle et al., 2017) that have reported that a significant family presence in both ownership and top management leads to lower internationalization in terms of both scale and scope and internationalization strategies are more successful when the CEO is a nonfamily member (Banalieva & Eddleston, 2011). Earlier studies identify other factors that make family managers more risk averse (Graves & Thomas, 2006) and focused on stability (Lee, 2006), thus discouraging growth strategies like internationalization (Fernández & Nieto, 2006). Family managers have a patient, undiversified portfolio of business because they do not have the luxury of exiting their ventures on their own, and the effect of business failure is catastrophic in their professional and personal lives (Daily & Dollinger, 1992; Filatotchev et al., 2007). Moreover, they have a tendency to build an enduring legacy for their succeeding generations (Sirmon & Hitt, 2003; Wang, 2008).

Professional managers, in contrast, tend to lead family firms into an aspirational and risky path of internationalization, including OFDIs. This is consistent with the agency theory argument that unconstrained managers are likely to opt for an aggressive internationalization strategy because it results in a larger firm, and a larger firm means higher compensation and lower risk for them (Denis, Denis, & Yost, 2002). Clearly, nonfamily professional managers are also less influenced by families' SEW considerations, have a different risk-taking propensity, and are willing and able to guide the internationalization of family firms more aggressively. Furthermore, professional managers manage capital more efficiently (Sraer & Thesmar, 2007), possess more extensive external contacts (Yildirim-Öktem & Üsdiken, 2010), construct more sophisticated organizational systems (Yildirim-Öktem & Üsdiken, 2010), and make more profitable acquisitions (Sraer & Thesmar, 2007). They have greater awareness of foreign investment opportunities and make better risk assessments through their professional contacts. Overall, we argue that professional managers positively influence family owners in enhancing their willingness to allow family firms to internationalize more.

Our study also extends the recent debate on the importance of external owners, particularly foreign owners, as a means of professionalizing the family business (Sciascia et al., 2012). Our results reveal that foreign institutional ownership in family firms has a significant moderating influence on internationalization strategy, consistent with our theoretical predictions. Family firms with greater foreign institutional ownership are more willing and able to pursue the high-commitment internationalization strategy of OFDI. These results lend support to prior research (e.g., George et al., 2005; Humphery-Jenner & Suchard, 2013) that institutional investors and VCs bring long-term orientations and greater risk bearing capabilities to family firms in their pursuit of

internationalization. The results also support the observation made by family business scholars (e.g., Schulze et al., 2003) that the inclusion of new stockholders from outside the family with the capacity to exert influence and control over the strategic direction of the firm erodes the family's ability to exercise unconstrained authority, influence, and power. Our results further indicate that although the positive effect of foreign institutional investors appears to mitigate the family owners'/managers' risk aversion (at least to some extent), their high degree of unwillingness to engage in internationalization prevails over other owners' influences. We extend the debate on external owners' influence on family firms' strategies by adding this nuance: although the involvement of external investors can reduce a family's risk aversion bias to a certain extent, it cannot fundamentally alter dominant family members' preferences for internationalization.

Similarly, we observe that although the presence of nonfamily professional management signals a family firm's openness to welcome new ideas and managerial approaches, it does not fundamentally alter dominant family owners' negative risk perceptions of internationalization strategy. It only eases family owners' reluctance toward internationalization to some extent. Prior studies (Calabrò et al., 2013; Yang, 2010) have made similar observations that when a family owner becomes more dominant with a greater concentration of ownership, nonfamily managers or a board with external members need to conform to the dominant owner's preferences. Overall, our results indicate that concentrated family ownership represents a great source of power for the family that is leveraged—depending on its economic and SEW considerations—either to negate or support external influences and the potential for realizing further gains from internationalization. One important insight for family owners is that an open governance structure and professionalization (e.g., the introduction of foreign institutional investors and nonfamily professional managers) facilitate the internationalization of family firms.

The above insight has significant bearing on the family business practice and research in big emerging economies like India that have a dominant presence of family firms. Many of the firms from India have been driven by the aspiration to have significant global presence, if not to become global leaders (Ghemawat & Hout, 2008), as is evident from the increasing flows of OFDI from India and a noticeable shift toward more developed nations (Gaur et al., 2014). Given that most of these aspiring firms are family firms, the FIIs, as well as nonfamily professional managers, have been playing increasingly important roles in governance and management of internationalizing family firms in India. Family owners and leaders have been not only co-opting the FIIs and nonfamily professional managers in strategic decision making, but also learning fast to leverage them more effectively in fulfilling global aspirations. The willingness and ability of the family owners to embrace the FIIs and the nonfamily professional managers and be more open to their influence are likely to become important distinguishing factors in determining the success and failure of internationalization of family firms. With the diminishing role of the domestic institutional investors (particularly the government financial institutions), the foreign institutional owners, even with limited ownership stakes, rarely have such opportunities to shape the strategic direction of family firms in any other context. Therefore, FIIs' activism and consequent tangible influences in governance and the management of family firms are expected to increase in India in the coming years.

In this article, we demonstrate that the willingness and ability framework proposed by De Massis et al. (2014) has the potential to draw upon complementary arguments from multiple theoretical perspectives to study how family involvement in ownership and management influence family firms' internationalization strategies. Acknowledging heterogeneity within family firms, we uncover how such firms' international strategies can be more or less dominated by family, depending on how and the extent to which the family owners are willing and able to exert influence through degree of

ownership, participation in management, or both. The willingness and the ability of the family to influence internationalization strategies of firms would vary across different types of firms depending on the involvement of the family in ownership and management. Firms dominated by family owners internationalize the least, as family owners have the least willingness to internationalization and have the greatest ability to influence firms' strategies. Family firms continue to internationalize less as long as family ownership remains high, independent of types of management (family or non-family professionals), because family owners can control management's strategic actions using ownership rights. High ownership control will give family owners the ability to translate their unwillingness to internationalize by having a strong leash on the management on risky internationalization activities. As family ownership reduces, the family's ownership control on the firm diminishes. Consequently, family owners' ability to curb the firm's internationalization becomes contingent upon the type of management. In the presence of family managers, the family owner's ability to influence internationalization negatively continues to a great extent. However, the family's unwillingness to internationalize may not be material if professional managers are in the helm of affairs, because the family's ability to control the management reduces significantly. In such a situation, professional managers' preferences may lead to greater internationalization.

We uncover the nuanced variations in the family's willingness and ability to influence a firm's internationalization influenced by the presence of other resourceful and powerful nonfamily shareholders, such as foreign institutional investors and/or nonfamily professional managers. We further elucidate how interaction between the "internal" family owners and managers and the "external" institutional shareholders positively influences the internationalization of a family firm. In this way, we can explain some of the conflicting findings of previous research on the effect of nonfamily ownership and professional management on family firms' international strategies.

We highlight a few important limitations of our study and suggest possible avenues for future research. First, although our core theorization hinges on the willingness and ability framework, we have measured only ability to influence (using the proxy measures of control) and assumed willingness (a cognitive concept) as a precondition to exercising ability. Given that the core theoretical mechanisms espoused in the willingness and ability framework are partly dependent on a cognitive concept, future research that can more directly observe the mental processes of family owners and managers—thereby assessing their dispositions toward internationalization—would provide a more robust measurement scheme and lend greater credence to our findings and the suitability of the willingness-ability framework. Moreover, though we have leaned on the SEW perspective to build our theoretical arguments, we have used proxies—and not recently developed direct measures of SEW—most widely (Hauck, Suess-Reyes, Beck, Prügl, & Frank, 2016). Second, other important factors, such as family characteristics and intergenerational conflict, board composition, and minority shareholders, contribute to the heterogeneity of family ownership and management. The inclusion of such variables would have enriched our study. Scholars should begin to investigate how various other aspects of heterogeneity among family firms—such as the network and knowledge resources of family members, the composition of the management team, the experiences and aspirations of managers and owners, the size of the family, within-family dynamics, intergenerational issues, and succession—influence the internationalization of emerging economy family firms. Third, we have explored the family management and nonfamily professional management dimension of family firms through a dichotomous variable because of data limitations. More sophisticated measures, such as the number or percentage of family managers, their levels of education, and their tenure working abroad, all of which capture the nuances of family management or professional management, could better be incorporated into future studies. This would also enable future research

to be anchored in appropriate theories such as the resource-based view. Fourth, we have investigated firms of Indian origin and focused on large firms (belonging to the top 500 publicly listed firms) because of our study's focus and our severe data limitations. Therefore, the results are not readily generalizable either to family SMEs in India or to firms in other countries. We call for more follow-up research with bigger and more diverse samples of large and public firms from both developed and other emerging economies with a significant presence of internationalizing family firms. Finally, internationalization is a multidimensional concept that covers a wide spectrum of internationalization activities, from low-commitment exports to high-commitment multinationality adopted by firms, and different measures of internationalization capture different facets of internationalization strategy (Hennart, 2011). Therefore, our measurement of internationalization strategy by two variables is somewhat limited and does not bring out the multinationality dimension well enough. In addition, our research on large Indian family firms has potentially excluded the new breed of firms, that is, "born globals," "born-again globals," and "born regionals" (Baum, Schwens, & Kabst, 2015). Future research should study diverse types of family firms.

We conclude that prior empirical research on the internationalization of family firms focusing predominantly on SMEs overlooks the nuances of family involvement with complex ownership and management for larger, publicly listed family firms. We clearly establish that both the direct and the combined effects of family involvement in ownership and management, foreign institutional shareholders, and outside professionals' involvement in management are much more intriguing, complex, and nuanced in family firms in general and emerging economies in particular than as framed by the prevailing debate. By theorizing and empirically validating the direct effect of family management on internationalization strategy independent of family ownership concentration, we open up an interesting avenue for future family business research that further explores the influence of heterogeneity within family management on EE family firms' internationalization. As the separation of ownership and management in family firms gathers momentum, future studies that examine the independent and joint effect of family involvement in ownership and management of firms will enrich extant family business theories. Further, PwC's global family business survey report (PwC, 2013) observes that Indian family firms tend to have more nonfamily members on their boards and in senior management positions in comparison to global averages. The institutional contexts for business families and family firms in some of the emerging economies like India have been undergoing significant changes, triggering noticeable changes in ownership, management, strategies, and performance of family firms. This emerging phenomenon offers great opportunities for family business research, and our study is an early attempt to capitalize on the same. Notwithstanding several limitations of our research, we have revealed how some nuanced features of family heterogeneity shape EE family firms' internationalization strategies, and we have covered significant theoretical and empirical ground. We hope that our effort will inspire more research on family firms' internationalization leveraging the contextual peculiarities of emerging economies like India to enrich family business theory and practice.

ACKNOWLEDGEMENTS

The authors thank Alfredo De Massis, Antonio Majocchi, Federico Frattini, Jean-Luc Arregle, Jean-Francois Hennart, Lucia Piscitello, Promidita Sharma, Sasanka Sekhar Chanda, Santanu Bhadra, Torben Pederson, two anonymous *Global Strategy Journal* reviewers, and participants in the 2015 *Global Strategy Journal* Workshop in Milan for thoughtful comments on earlier versions of our work. The generous financial support received from the Thomas Schmidheiny Centre for Family

Enterprise at Indian School of Business is gratefully acknowledged. All errors remain the authors' own

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How to cite this article: Ray S, Mondal A, Ramachandran K. How does family involvement affect a firm's internationalization? An investigation of Indian family firms. *Global Strategy Journal*. 2018;8:73–105. <https://doi.org/10.1002/gsj.1196>